

would have multiplied your money 100x.

In fact, during that 17-year stretch, you'd have had at least a dozen opportunities each month to multiply your money 100x if you just held on. In some cases, you didn't even have to wait very long. Southwest Airlines returned more than 100x in about 10 years beginning in 1971.

Leslie Wexler's L Brands did it in about 8 years starting in 1978. In 1966, you could've bought H&R Block and turned a \$10,000 investment into \$1 million in under two decades.

The indices can tell you what kind of environment you are in. It's certainly harder to find great opportunities in highly priced markets. And it's easier to find big winners at market bottoms (but perhaps not so easy to make yourself buy them, as fear is rife at such times). These facts should surprise no one.

My point is, don't fret so much with guesses as to where the stock market might go. Keep looking for great ideas. If history is any guide, they are always out there.

As I say, you need a really good filter.

## #9 Luck Helps

Let's face it. There is an element of luck in all of this.

No one could've predicted back in 2002 what Apple would become.

No one could've predicted they'd invent whole new markets — the iPod, the iPad, the iPhone. There are some 100-baggers in this study where I just threw up my hands, resigned to the fact that they were unpredictable.

Likewise, bad things happen. You could do all the work right, and then, some new innovation comes along that crosses what seemed an impregnable moat. Just look at how many businesses have been destroyed or severely impaired in recent times — video rentals, newspapers, the music industry, even taxis.

I quote here from Nicholas Rescher's elegant meditation on chance, *Luck: The Brilliant Randomness of Everyday Life*:

To be sure, given our natural human commitment to the idea that we live in a rational world, we are inclined to think that there is always an ultimate reason. ... All of this is perfectly natural but